Chapter 5

Financial Accounting – Part 2

Learning objectives

- Financial Accounting (FI).
- Controlling (CO).
  - ❖ Cost center; Cost elements; Posting financial transaction; and Allocating costs.
- Financial Accounting – Accounts Payable (FI – AP) and Accounts Receivable (FI - AR) in SAP S/4HANA (using Global Bike).

1. Financial Accounting (FI)

Goal of Financial Accounting (FI)

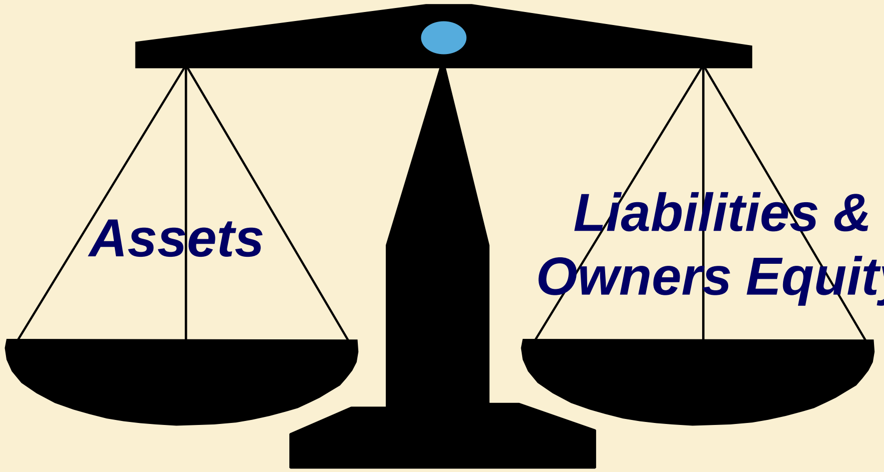
- Financial Accounting is designed to collect the transactional data that provides a foundation for preparing the standard portfolio of reports.
- In general, these reports are primarily, but not exclusively, directed at external parties.
- Standard reports include:
  - ❖ Balance Sheet.
  - ❖ Income Statement.
  - ❖ Statement of Cash Flows.

Target Groups

- **Internal**
  - ❖ Executives.
  - ❖ Senior Management.
  - ❖ Administrative Staff.
  - ❖ Employees.
- **External**
  - ❖ Legal Authorities.
  - ❖ Banks.
  - ❖ Auditors.
  - ❖ Shareholders.
  - ❖ Insurance.
  - ❖ Taxing Authorities.
  - ❖ Media.
  - ❖ Financial Analysts.

FI Organizational Structure

- ***Client***
  - ❖ An independent environment in the system.
- ***Company Code***
  - ❖ Represents an independent legal accounting unit.
  - ❖ Balanced set of books, as required by law, are prepared at this level.
  - ❖ A client may have more than one company code.
    - ➢ United States.
    - ➢ Germany.
    - ➢ United Kingdom.
    - ➢ Australia.
    - ➢ Etc.



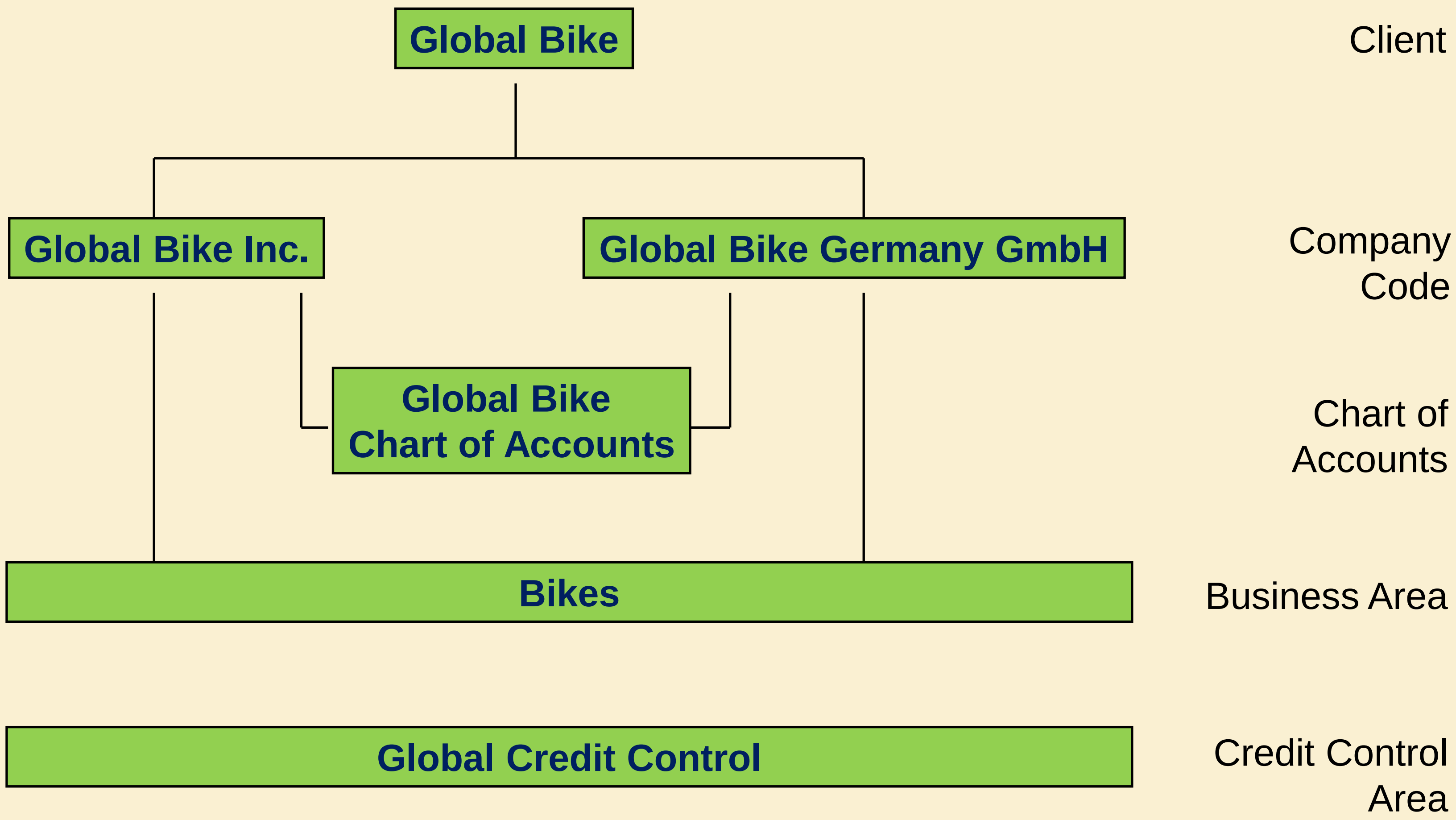
FI Organizational Structure (Cont.)

- ***Chart of Accounts***
  - ❖ A classification scheme consisting of a group of general ledger (G/L) accounts.
  - ❖ Provides a framework for the recording of values to ensure an orderly rendering of accounting data.
  - ❖ The G/L accounts it contains are used by one or more company codes.
- ***Credit Control Area***
  - ❖ An organizational entity which grants and monitors a credit limit for customers.
  - ❖ It can include one or more company codes.

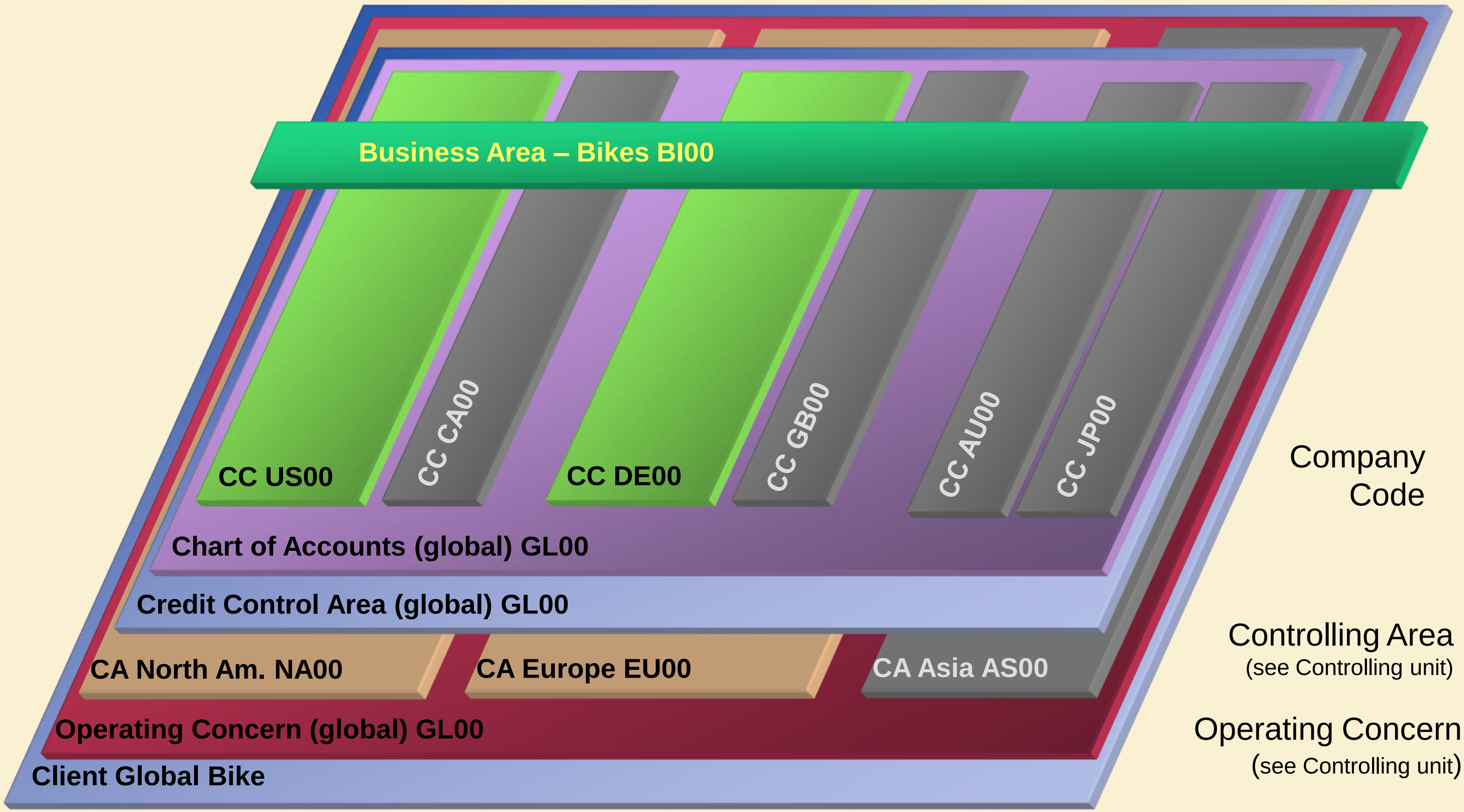
FI Organizational Structure (Cont.)

- ***Business Area***
  - ❖ An organizational unit that represents a separate area of operations or responsibilities within an organization and to which value changes recorded in Financial Accounting can be allocated.
  - ❖ Financial statements can be created for business areas, and these statements can be used for various internal reporting purposes.

Global Bike Structure for Financial Accounting



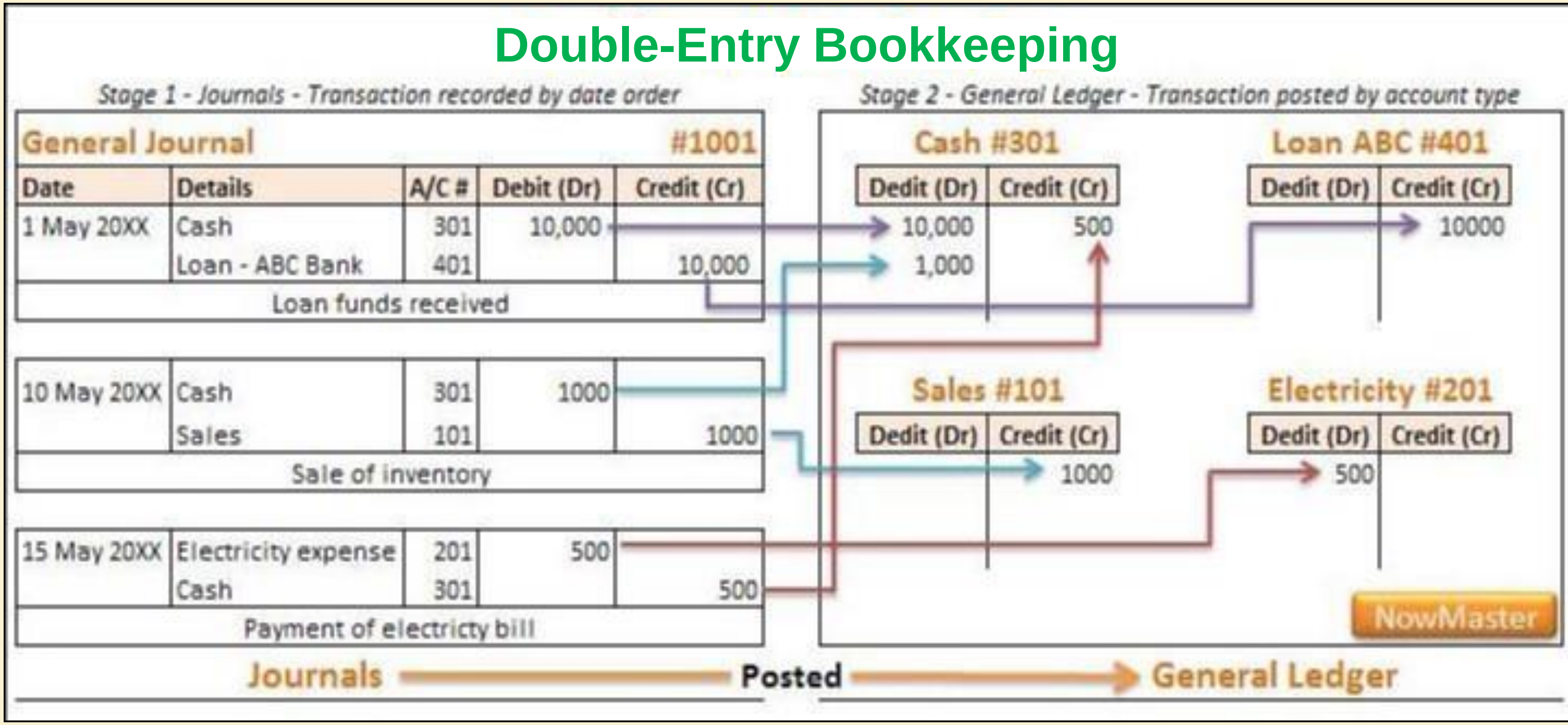
Global Bike Enterprise Structure in SAP ERP (Accounting)



FI Master Data

- General Ledger (G/L) Accounts
  - ❖ The unique combination of Company Code and Chart of Account creates a data storage area called a General Ledger.
  - ❖ The General Ledger contains a listing of the transactions effecting each account in the Chart of Accounts and the respective account balance.
  - ❖ It is utilized in the preparation of financial accounting statements.

Example of An Actual General Ledger – Double-entry Bookkeeping



Source: https://www.differencebetween.com/difference-between-general-ledger-and-vs-sub-ledger/

<u>Note:</u>

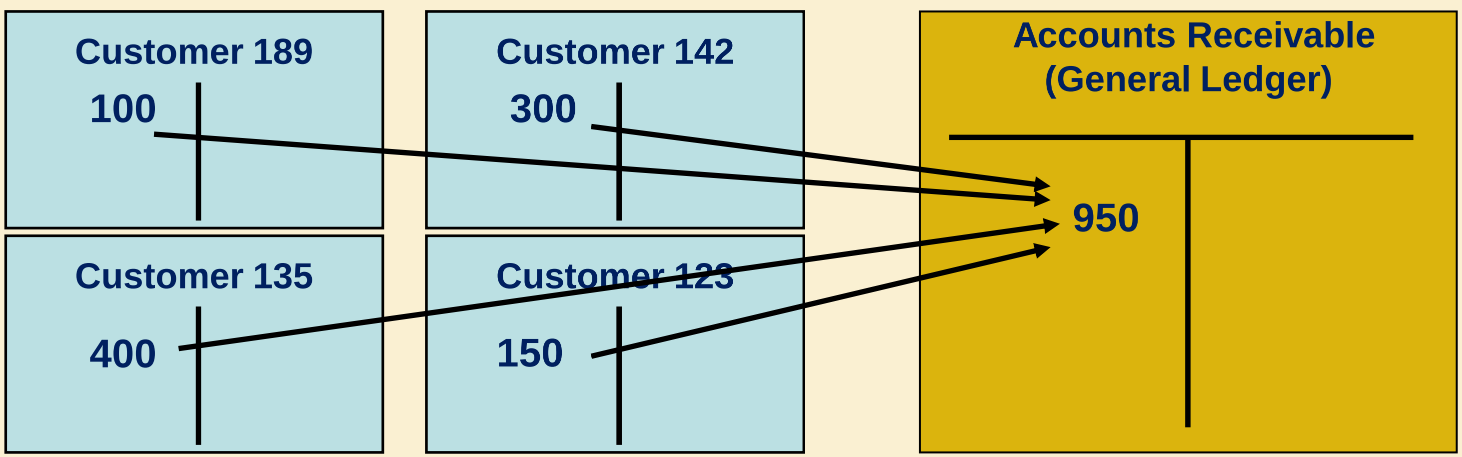
- In Vietnam, the account code of Cash is 111 (see financial statements of Vietnam Dairy Products Joint Stock Company); etc.

FI Master Data (Cont.)

- Customer and Vendor Master Data
  - ❖ Customer and vendor account balances are maintained in FI through fully integrated accounts receivable and accounts payable sub-ledgers.
  - ❖ Financial postings for customers and vendors are made directly to their respective individual accounts and accompanied by a concurrent automatic posting to the General Ledger.

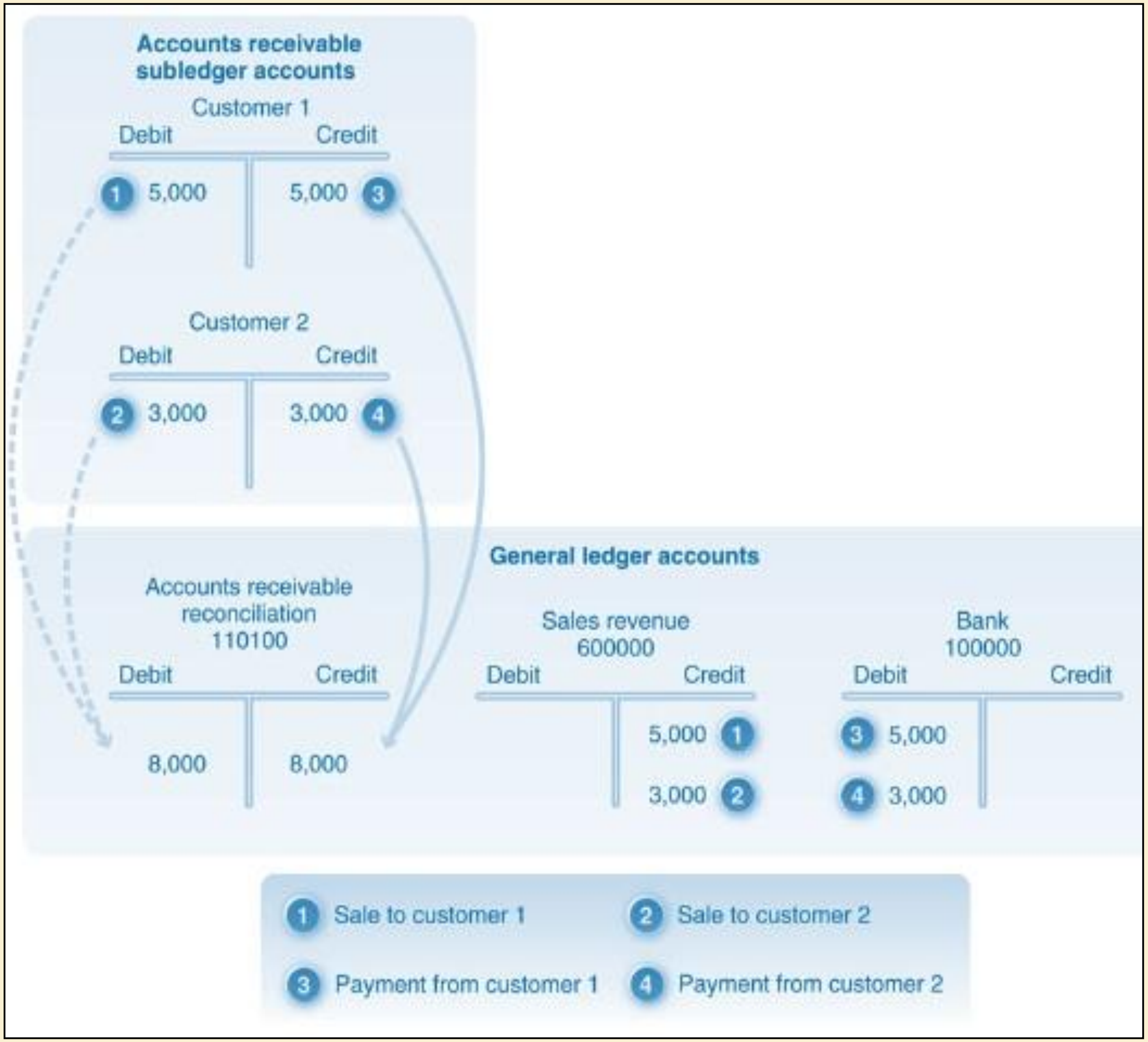
FI Master Data - Customer Accounts

- Accounts Receivable Sub-Ledger (FI-AR)
  - ❖ Information with respect to customers who purchase the enterprise's goods and services such as sales and payments made.
  - ❖ Substantive and important integration between Sales and Distribution (SD) and Financial Accounting (FI).
  - ❖ Billings in SD generate FI journal entries for sales activity.



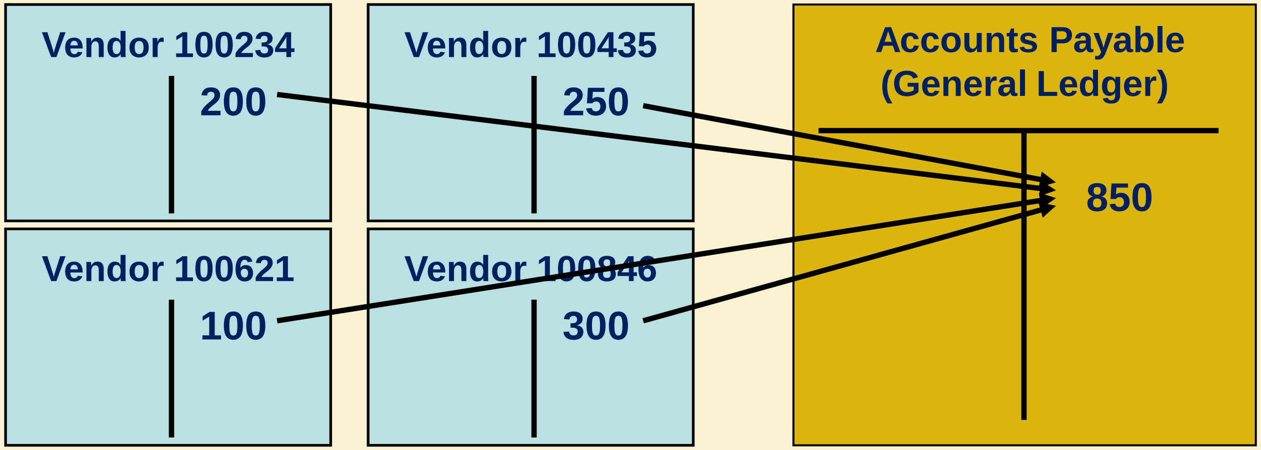
FI Master Data - Customer Accounts (Cont.)

- Accounts Receivable Sub-Ledger (FI-AR)
  - ❖ Another detailed example of FI-AR



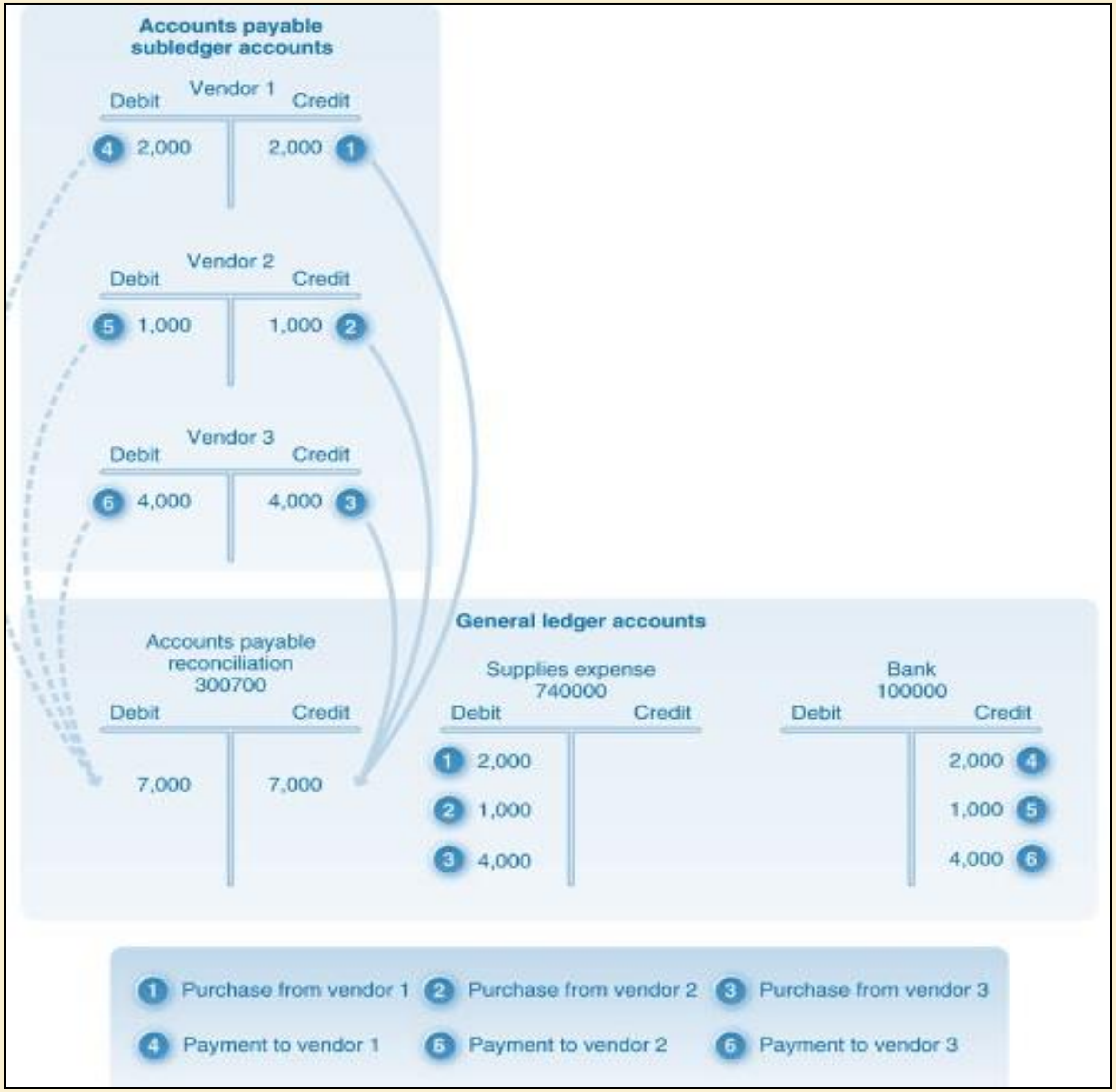
FI Master Data - Vendor Accounts

- Accounts Payable Sub-Ledger (FI-AP)
  - ❖ Information with respect to vendors from whom the enterprise purchases goods and services such as purchases and payments made.
  - ❖ Substantive and important integration between Materials Management (MM) and Financial Accounting (FI).
  - ❖ Purchase and goods receipt activities in MM generate FI journal entries.



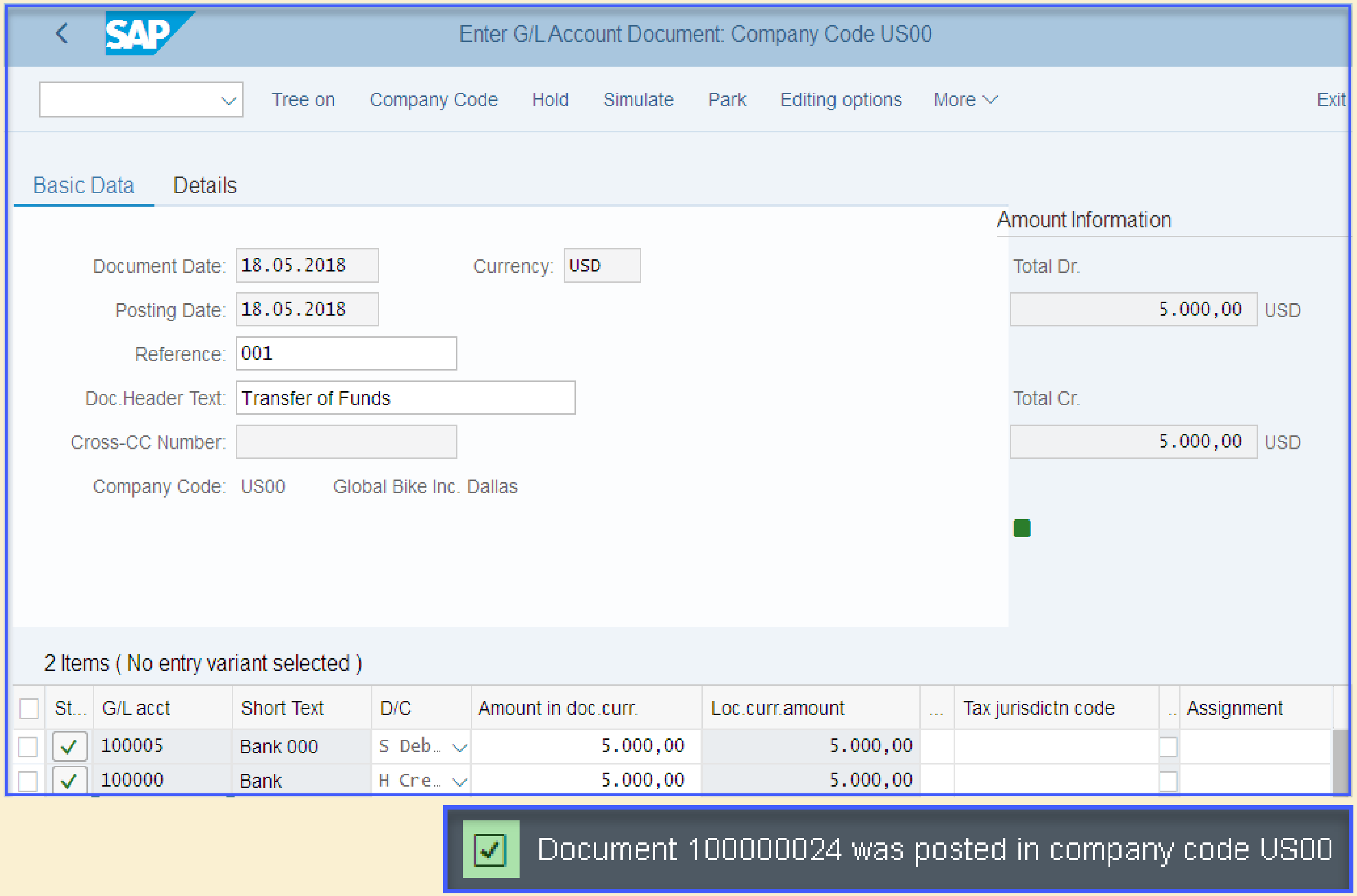
FI Master Data - Vendor Accounts (Cont.)

- Accounts Payable Sub-Ledger (FI-AP)
  - ❖ Another detailed example of FI-AP



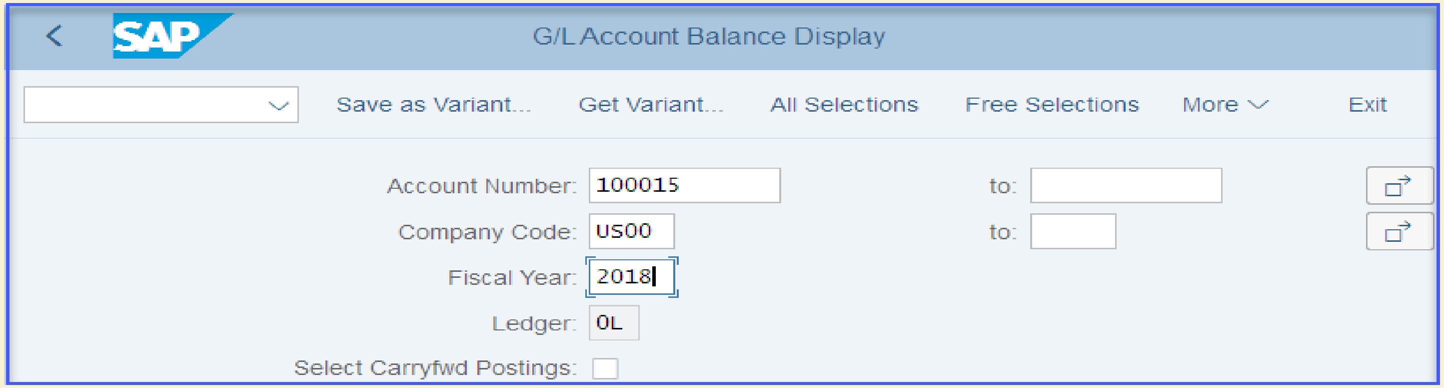
FI Processes

- Posting a G/L Entry



FI Reporting

- G/L Account Summary



Period	Debit	Credit	Balance	Cumulative Balance
Bal.Carryforw...				
1				
2				
3				
4				
5	5.000,00	1.500,00	3.500,00	3.500,00
6				3.500,00
7				3.500,00
8				3.500,00
9				3.500,00
10				3.500,00
11				3.500,00
12				3.500,00
13				3.500,00
Total	5.000,00	1.500,00	3.500,00	3.500,00

FI Reporting (Cont.)

- ***Balance Sheet***
  - ❖ Presentation of an organization’s Assets, Liabilities, and Equity at a point in time.
  - ❖ Assets: What the company owns.
  - ❖ Liabilities: What the company owes.
  - ❖ Equity: The difference between Assets and Liabilities.
  - ❖ Assets = Liabilities + Equity

FI Reporting (Cont.)

- ***Balance Sheet Example***

Assets	
Cash	1,000
Accounts Receivable	3,000
Equipment	500
Total Assets	4,500

Liabilities	
Accounts Payable	1750
Taxes Payable	500
Total Liabilities	2,250
Equity	
Common Stock	2,000
Retained Earnings	250
Total Equity	2,250
Total Liabilities and Equity	4,500

FI Reporting (Cont.)

- ***Income Statement***
  - ❖ Presentation of an organization's revenues and expenses for a given period of time (e.g. monthly, quarterly, or yearly)
  - ❖ Revenues, in a simple sense, are inflows of cash as a result of selling activities or the disposal of company assets.
  - ❖ Expenses, in a simple sense, are outflows of cash or the creation of liabilities to support company operations.
  - ❖ Revenues - Expenses = Net Income

FI Reporting (Cont.)

- ***Income Statement Example***

Revenue	
Sales	11,000
Deductions	750
Total Revenue	10,250
Operating Expenses	
Cost of Goods Sold	4,500
Operating Expenses	3,750
Total Expenses	8,250
Net Income Before Taxes	2,000
Taxes	750
Net Income	1,250

FI Reporting (Cont.)

- ***Statement of Cash Flows***
  - Considers the associated changes, both inflows, and outflows, that have occurred in cash – arguably the most important of all assets – over a given period (e.g. monthly, quarterly, or annually).

Accountants and Audit Trails

- Audit trails allow an auditor to begin with an account balance on a financial statement and trace through the accounting records to the transactions that support the account balance.
- Audit trails enable an auditor to trace individual transactions to the affected account balance(s) on a financial statement.

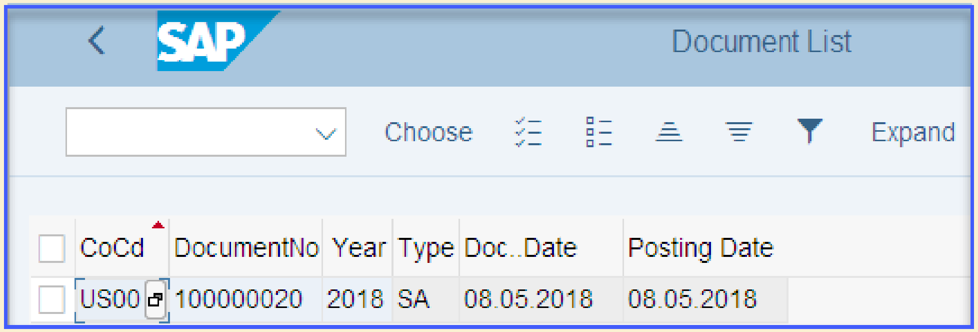
SAP Document Principle

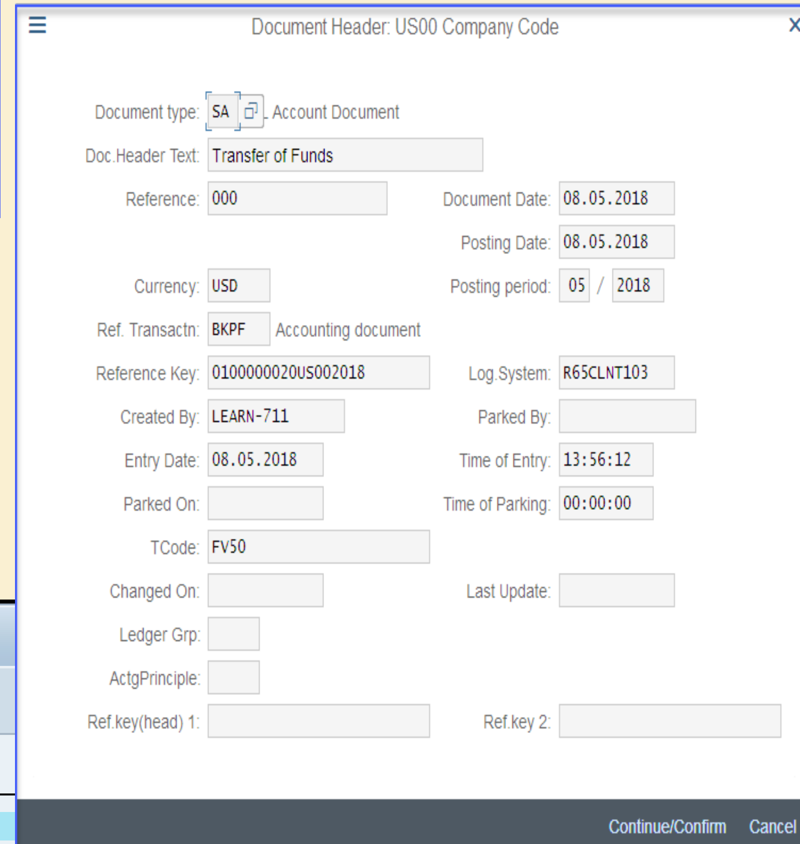
- Each business transaction impacting FI writes data to the SAP database creating a uniquely numbered electronic document.
- The document number can be used to recall the transaction at a later date.
- It contains, for example, such critical and necessary information as:
  - ❖ Responsible person.
  - ❖ Date and time of the transaction.
  - ❖ Commercial content.

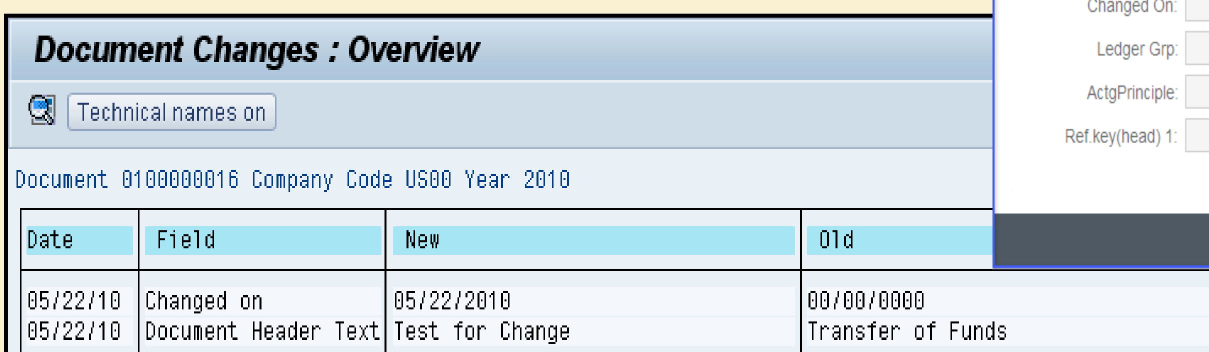
SAP Document Principle (Cont.)

- Once written to the SAP database, a financial document (one impacting the financial position of the company) can not be deleted from the database.
- It can be changed to some degree.
- The SAP document principle provides a solid and important framework for a strong internal control system – a requirement of law for companies that operate in most countries in the world.

SAP Document Principle (Cont.)







SAP FI Module

- Fully integrated with other SAP modules including, but not limited to:
  - ❖ Sales and Distribution (SD).
  - ❖ Materials Management (MM).
  - ❖ Production Planning and Execution (PP).
  - ❖ Managerial Accounting (CO).

In conclusion

- FI Organizational Structure.
- FI Master Data.
- FI Processes.
- FI Reporting.

Understand

2. Controlling (CO)

Goal of Controlling (CO)

- ***Managerial Accounting*** – also termed Controlling – is designed to collect transactional data that provides a foundation for preparing internal reports that support decision-making within the enterprise.
- These reports are exclusively for use within the enterprise and include:
  - ❖ Cost center performance.
  - ❖ Profit center performance.
  - ❖ Budgets analyses.

Target Audience

- Executives.
- Senior Management.
- Department Managers.
- Controllers.
- Cost Accountants.

CO Organizational Structure

- Represents the legal and/or organizational views of an enterprise.
- Forms a framework that supports the activities of a business in the manner desired by management.
- Permits the accurate and organized collection of business information.
- Supports the development and presentation of relevant information to enable and support business decisions.

CO Organizational Structure (Cont.)

- ***Client***
  - ❖ An independent environment in the system
- ***Company Code***
  - ❖ Represents an independent legal accounting unit
  - ❖ Balanced set of books, as required by law, are prepared at this level.
  - ❖ A client may have more than one company code
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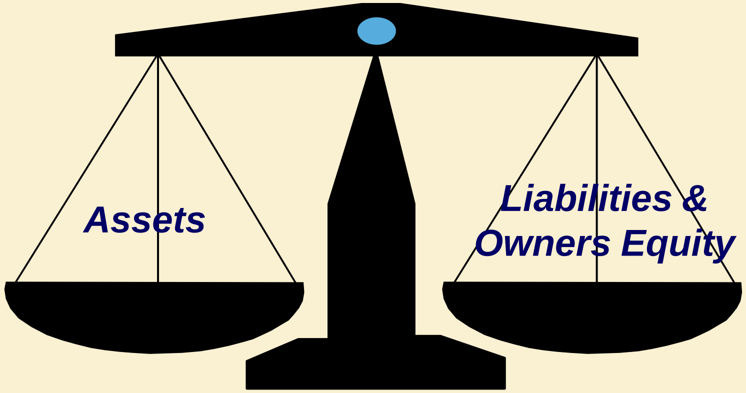
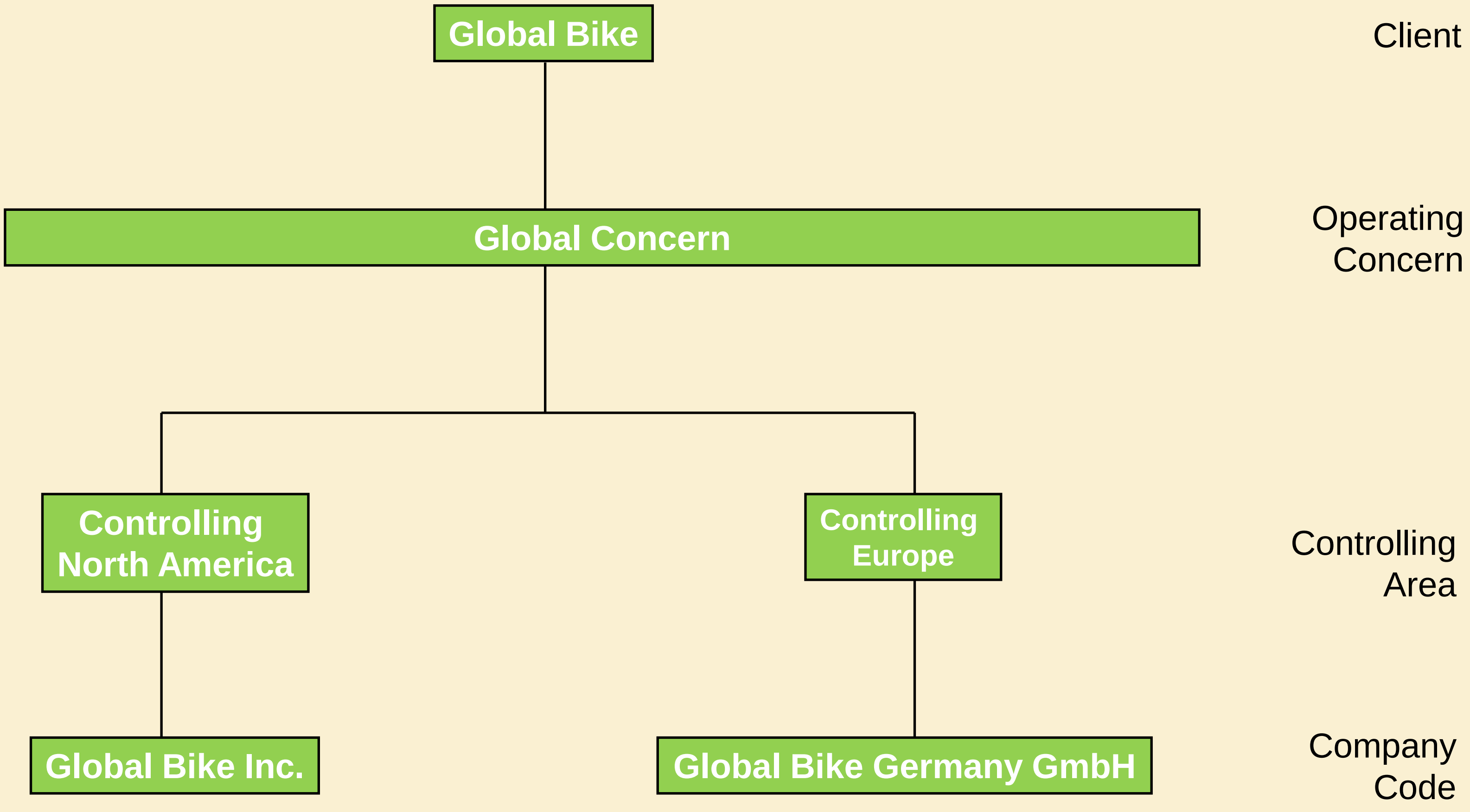


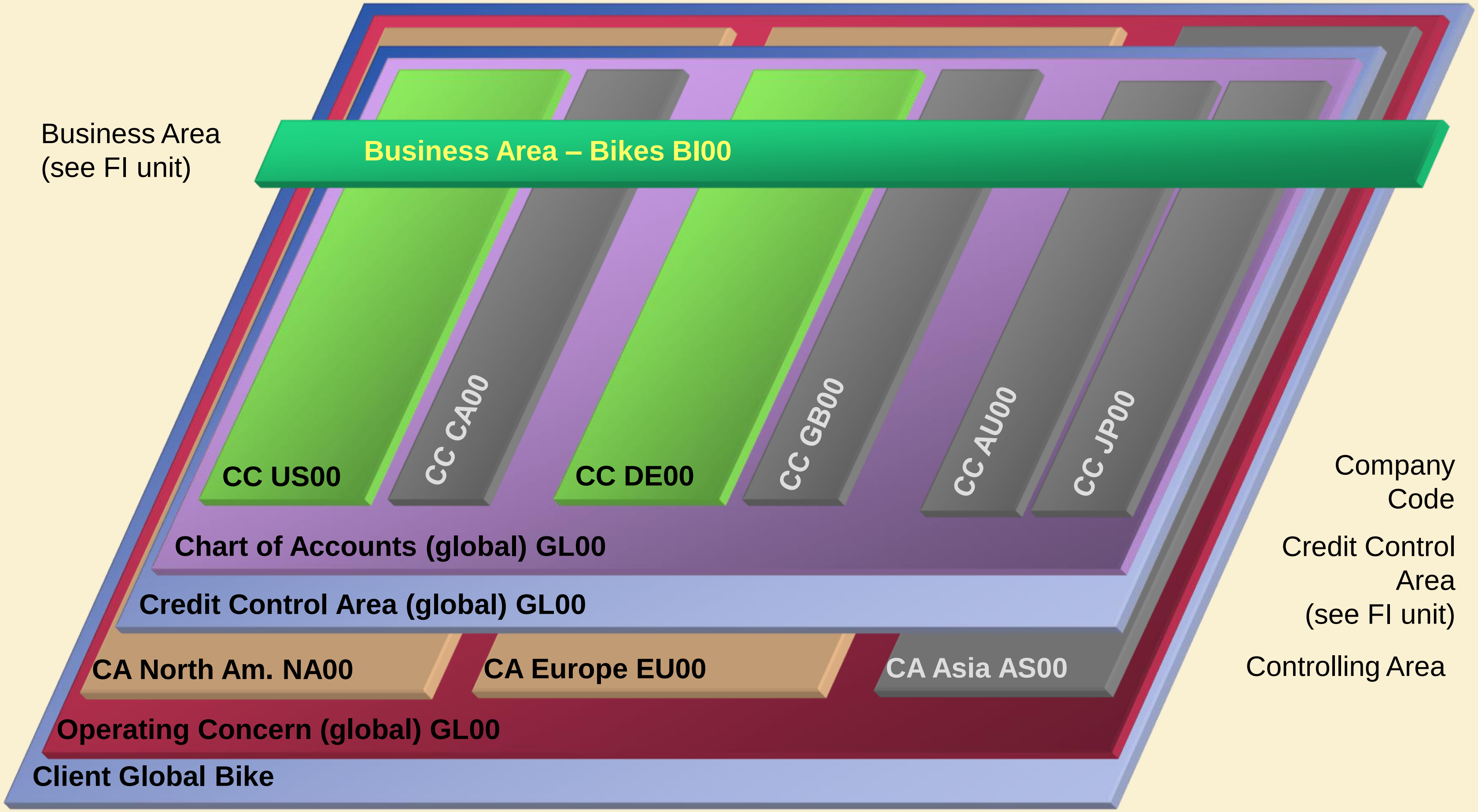
CO Organizational Structure (Cont.)

- ***Controlling Area***
  - ❖ A self-contained, organizational unit for which the management of revenues and expenses can be performed.
  - ❖ May include one or more company codes; therefore, an enterprise can perform management accounting analyses and reports across several companies.
  - ❖ A way to identify and track where revenues and costs are incurred for evaluation purposes.
- ***Operating Concern***
  - ❖ Represents a part of an organization for which the sales market is structured in a uniform manner.
  - ❖ A operating profit for the individual market segments can be calculated.
  - ❖ Multiple controlling areas can be assigned to one operating concern.

Global Bike Structure for Controlling



Global Bike Enterprise Structure in SAP ERP (Accounting)



CO Master Data (Cont.)

- ***Profit Center***
  - Responsible for revenue generation and cost containment.
  - Evaluated on profit or return on investment.
  - Enterprises are commonly divided into profit centers based on
    - Region.
    - Function.
    - Product.

- ***Cost Center***
  - Responsible for cost containment, not responsible for revenue generation.
    - One or more value-added activities are performed within each cost center.
    - Unit that is distinguished, for example, by area of responsibility, location, or type of activity
      - Copy center.
      - Security department.
      - Maintenance department.

CO Master Data (Cont.)

- ***Internal Order***
  - Temporary cost collector responsible for cost containment, not responsible for revenue generation.
  - It is used to plan, collect, and monitor the costs associated with a distinct short-term event, activity, or project.
    - Company picnic.
    - Trade show/fair.
    - Recruiting campaign.

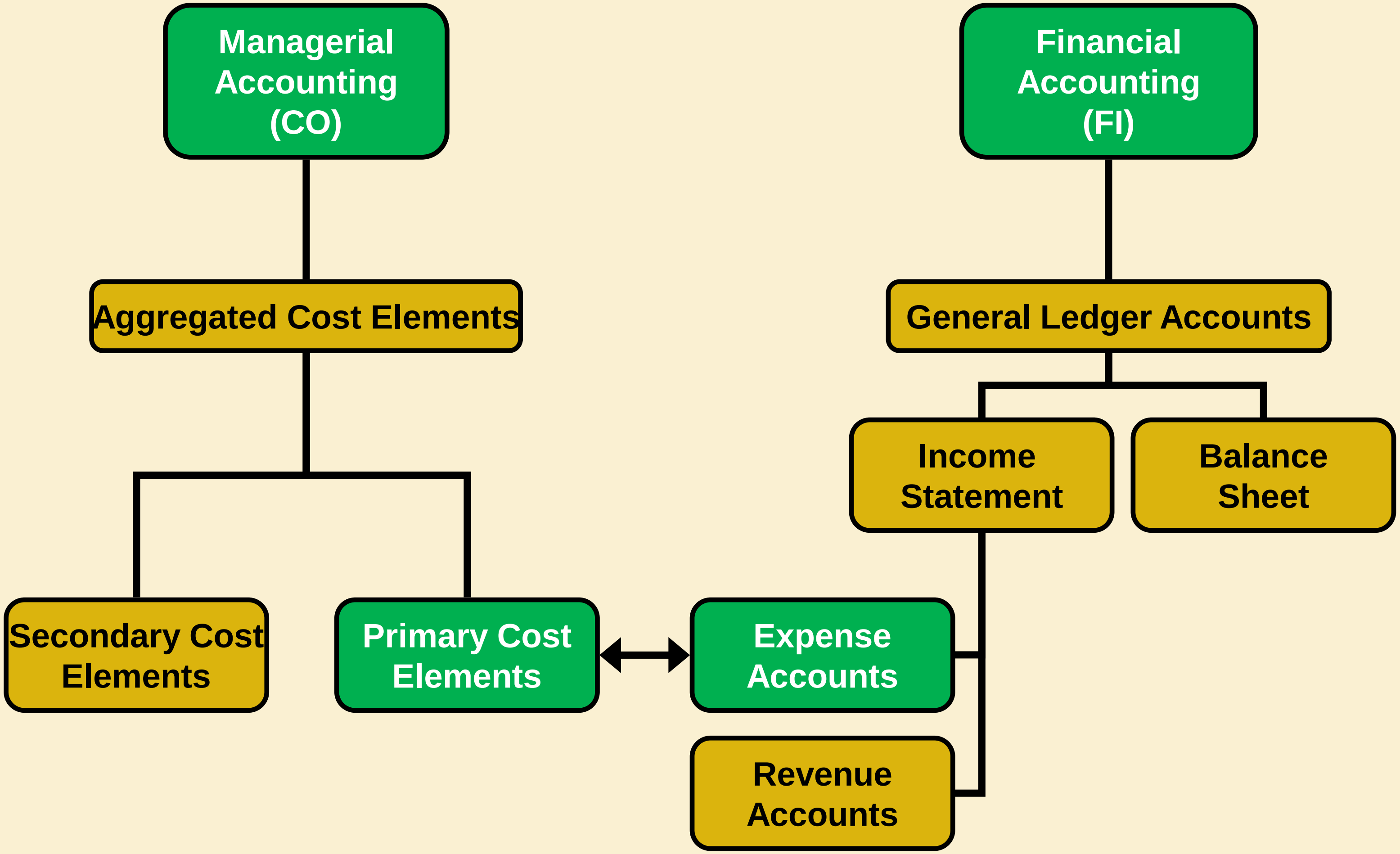
- ***Revenue Element***
  - A one-to-one linkage (mapping) between General Ledger revenue accounts and CO revenue elements is established to permit the transfer of FI revenue information to CO.
  - Posting in FI that impact revenue accounts lead to a posting in CO to a revenue element.
  - In other words,
    - revenue account = revenue element (just different words depending on whether FI object or CO object).

CO Master Data (Cont.)

- ***Cost Element***
  - ❖ A one-to-one linkage (mapping) between General Ledger expense accounts and CO cost elements is established to permit the transfer of FI expense information to CO.
  - ❖ Postings in FI that impact cost accounts lead to a posting in CO to a cost element.
  - ❖ In other words, expense account = cost element (just different words depending on whether FI object or CO object).

- ***Primary Cost Element***
  - ❖ Originate in the General Ledger within FI and are automatically transferred to CO when an FI transaction is recorded in the General Ledger.
- ***Secondary Cost Element***
  - ❖ Used exclusively in CO for allocations and settlements between and amongst cost centers.

CO Master Data – Primary vs. Secondary Cost Elements (Cont.)

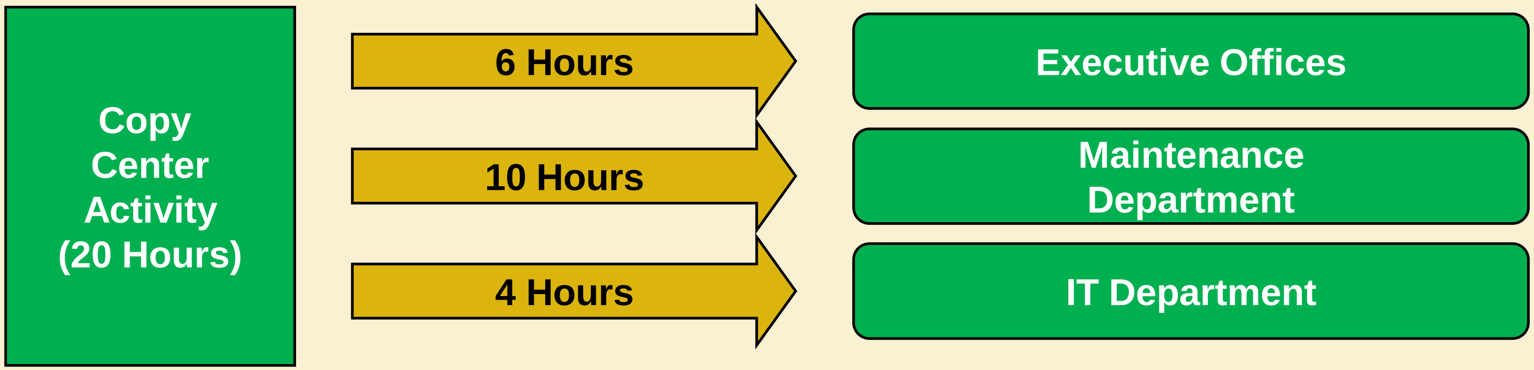


CO Master Data – Primary vs. Secondary Cost Elements (Cont.)

- Cost elements describe the origin of costs.
- Cost elements are defined as either.
  - ❖ Primary cost elements arise through the consumption of production factors that are sourced externally.
  - ❖ Secondary cost elements arise through the consumption of production factors that are provided internally.
- Expenses and Revenue accounts in Financial Accounting correspond to Primary Cost and Revenue Elements.
- Secondary Cost Elements are used exclusively in CO to identify internal cost flows such as *assessments or settlements*. They do not have corresponding General ledger accounts in FI and are defined in CO only.
- When you create a cost element, you must assign a cost element category.
- This Assignment determines the transactions for which you can use the cost element.

CO Master Data (Cont.)

- Statistical Key Figures
  - ❖ Provide the foundation for accurate and effective cost allocations between cost objects.
  - ❖ Utilized to support internal cost allocations involving allocations, assessments, and distributions.
  - ❖ Examples:
    - ➢ number of employees.
    - ➢ square footage.
    - ➢ minutes of computer usage.



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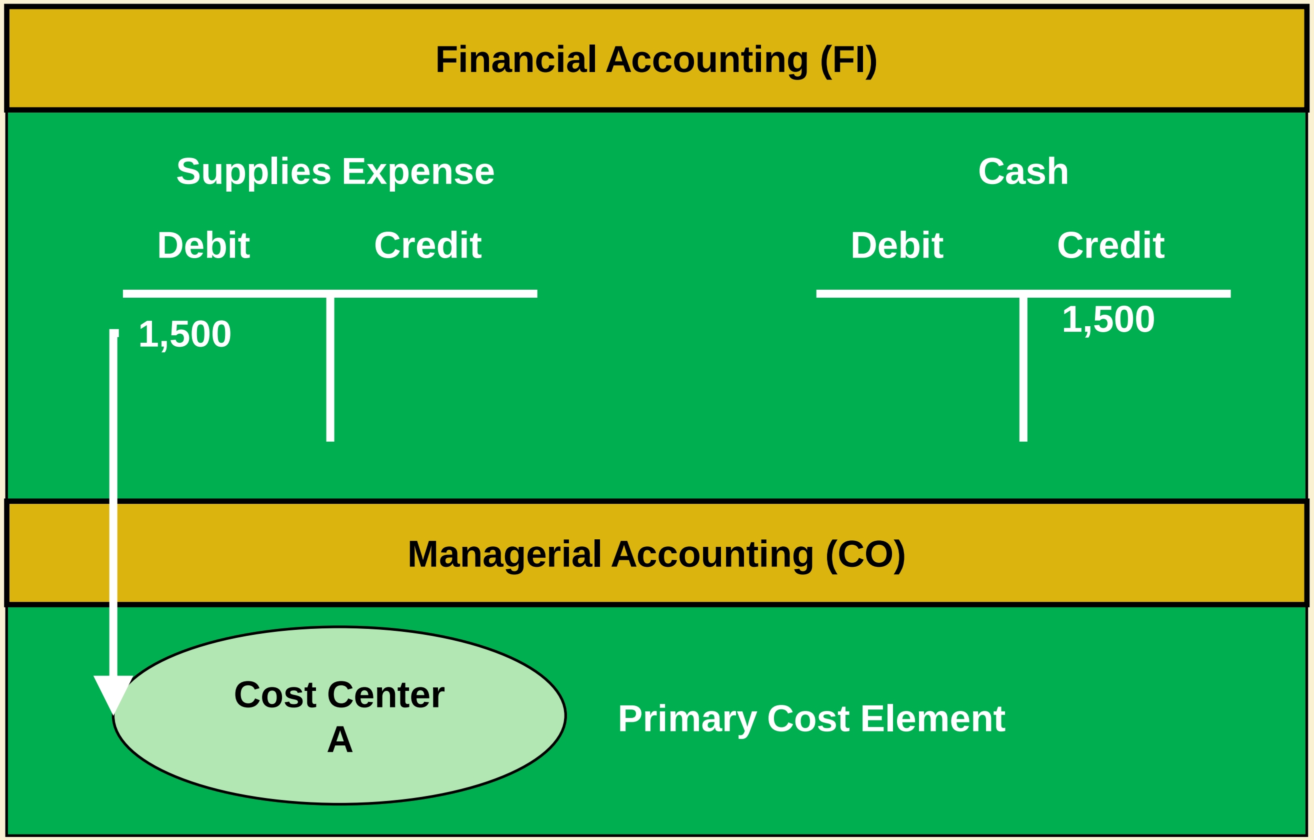
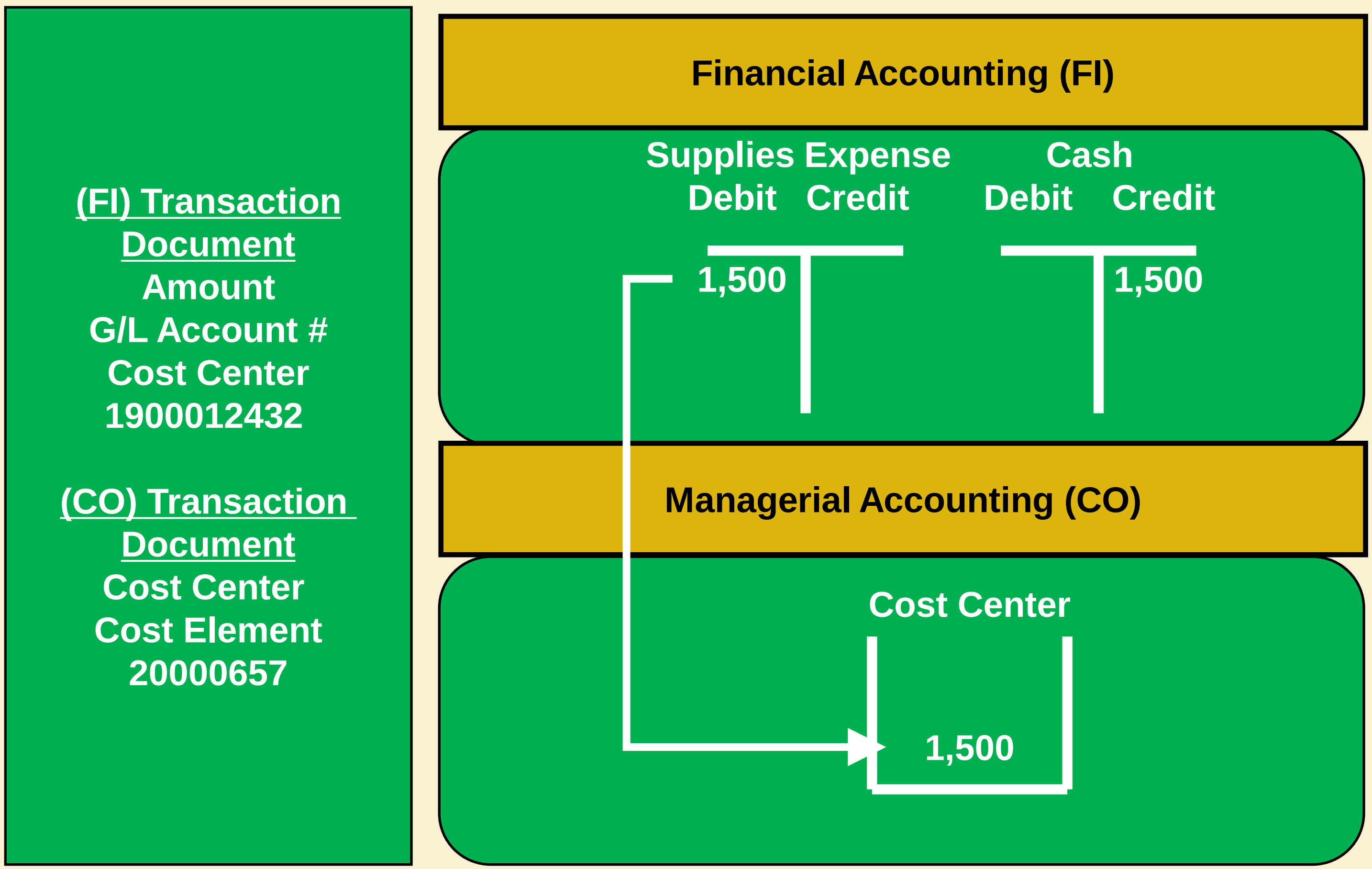
CO Processes

- Posting Primary Cost Element



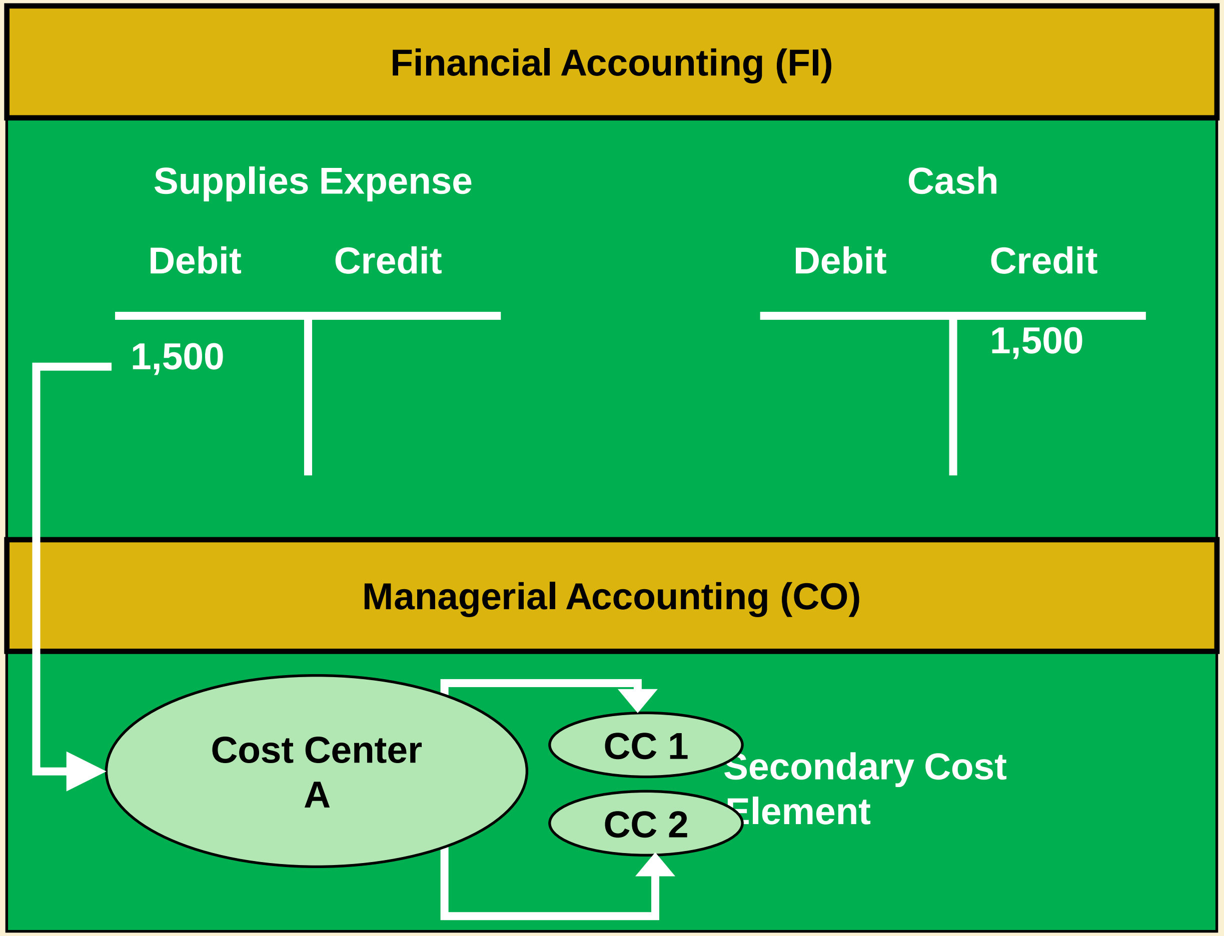
CO Processes (Cont.)

- Posting Primary Cost Element



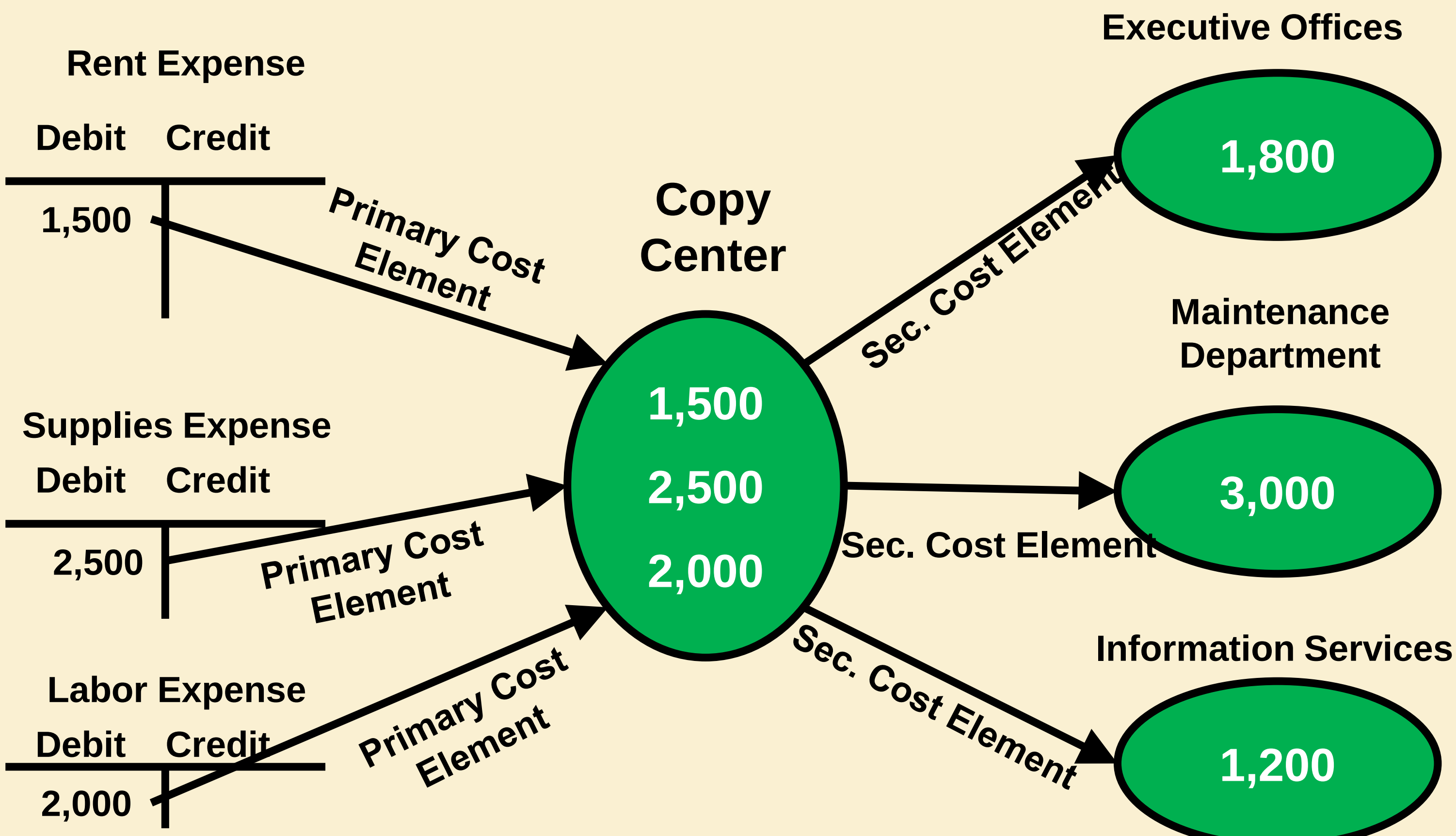
CO Processes (Cont.)

- Posting Secondary Cost Element



CO Processes (Cont.)

- Posting Secondary Cost Element

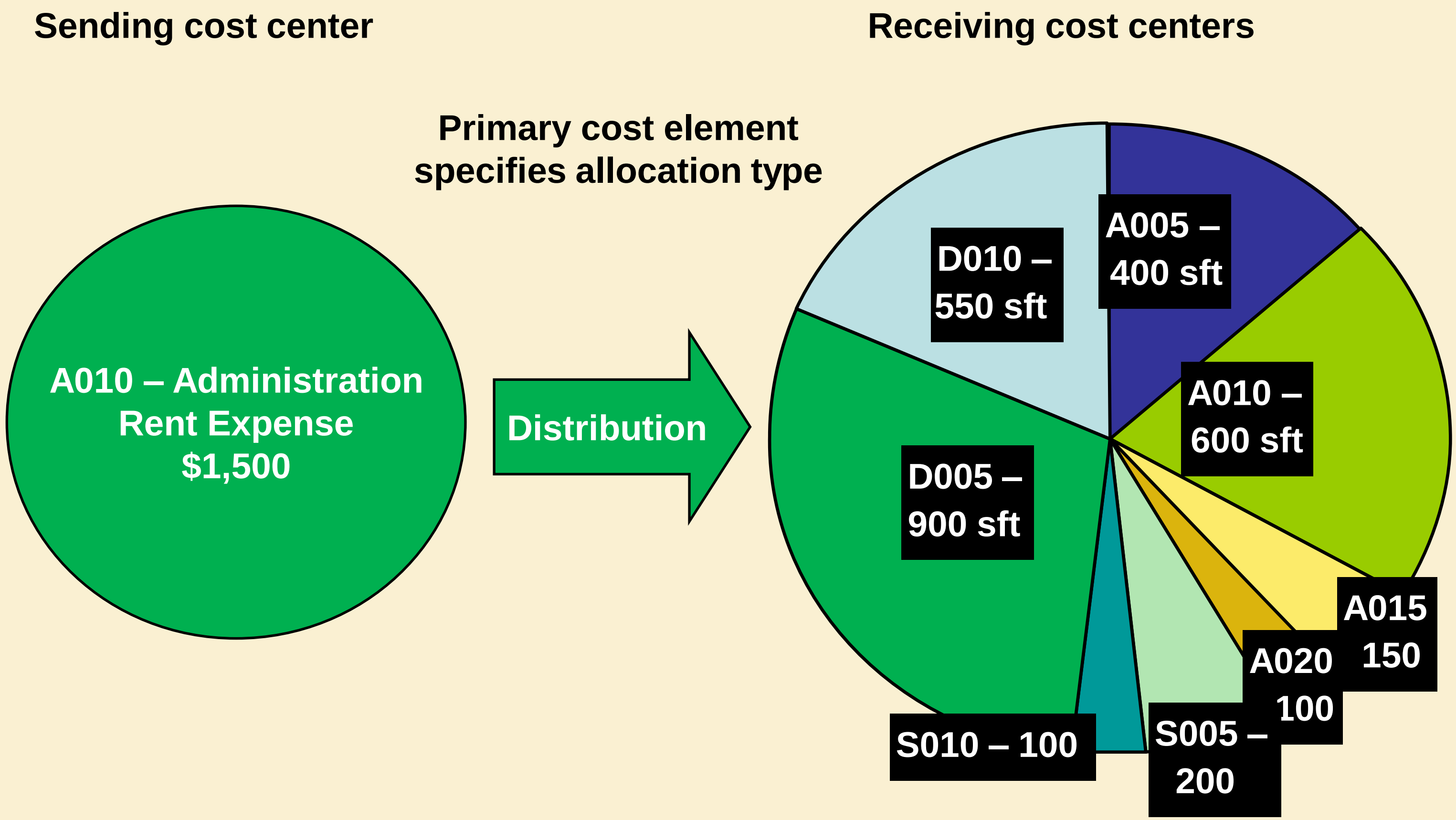


Types of Allocation

- ***Distribution***
  - Method for periodically allocating primary cost elements.
  - Primary cost elements maintain their identities in both the sending and receiving objects.
  - Sender and receiver cost centers are fully documented in a unique Controlling (CO) document.

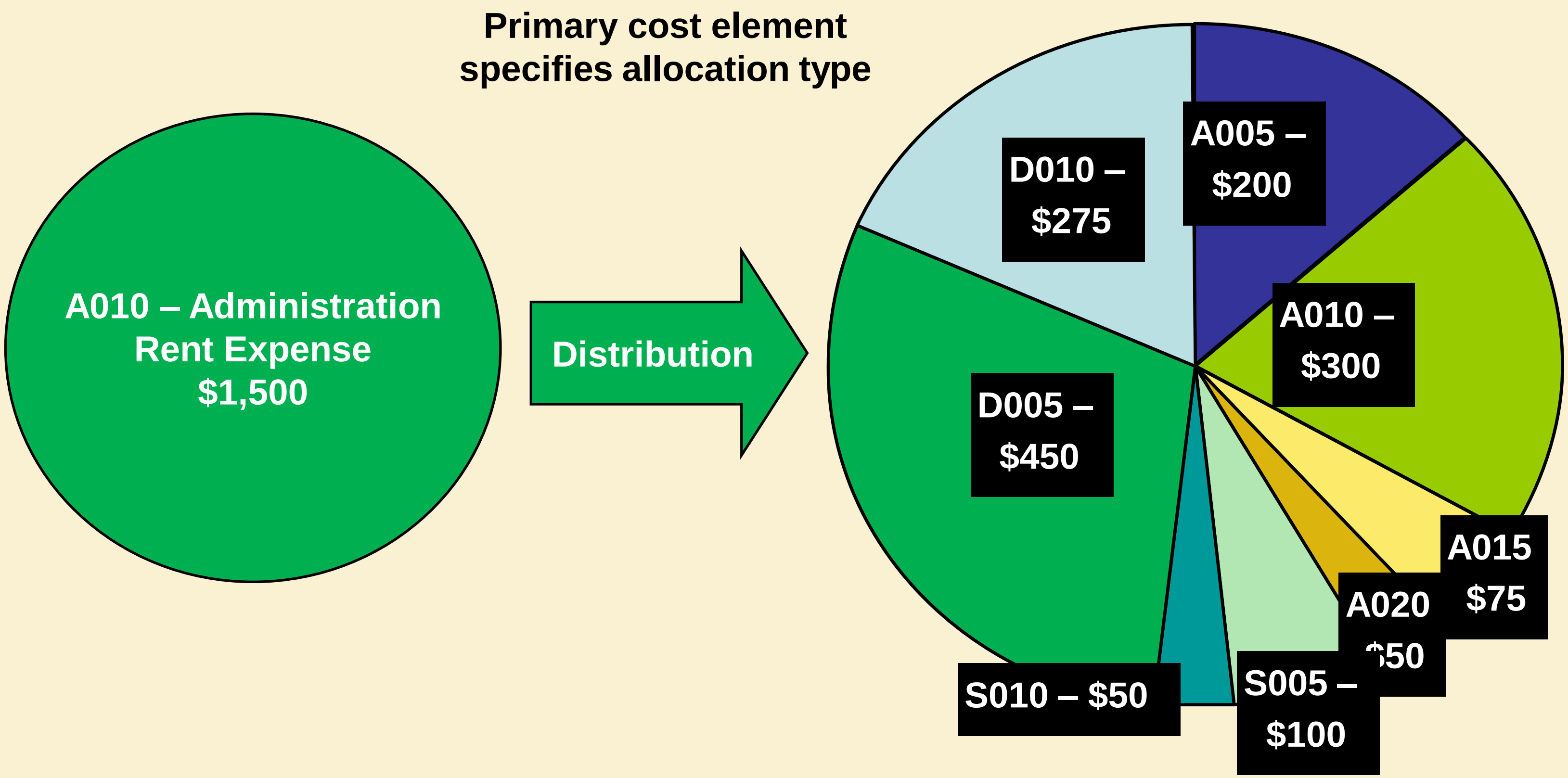
- ***Assessment***
  - A method of allocating both primary and secondary cost elements.
  - Primary and/or secondary cost elements are grouped together and transferred to receiver cost centers through use of a secondary cost element.
  - Sender and receiver cost centers are fully documented in a unique Controlling (CO) document.

Types of Allocation – Distribution (Cont.)



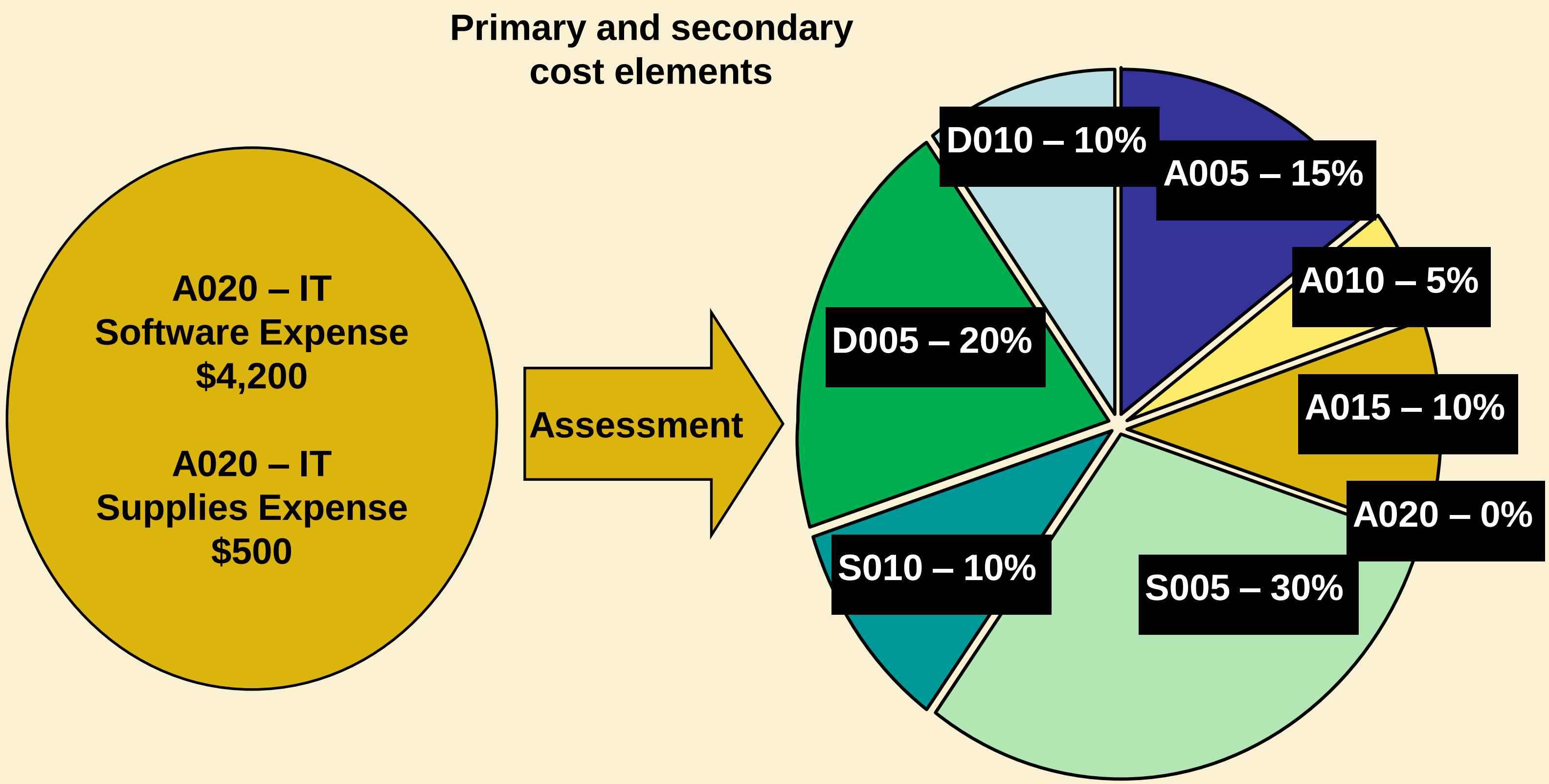
Types of Allocation – Distribution (Cont.)

Sending cost center **Receiving cost centers**



Types of Allocation – Assessment (Cont.)

Sending cost center **Receiving cost centers**

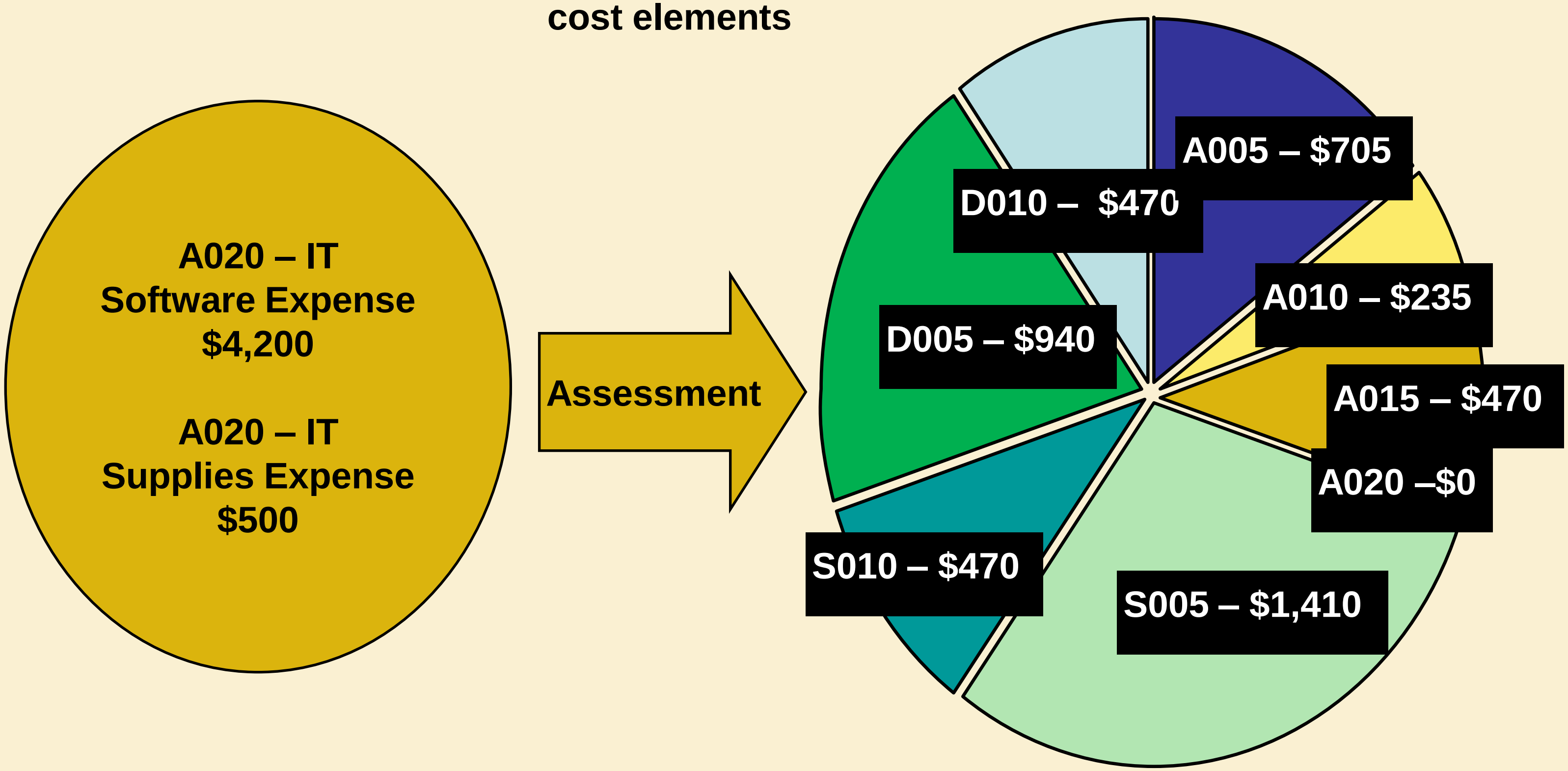


Types of Allocation – Assessment (Cont.)

Sending cost center

Receiving cost centers

Primary and secondary cost elements



SAP CO Module

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In conclusion

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- CO Master Data.
- CO Processes.

Understand

3. Financial Accounting – Accounts Payable (FI - AP) and Accounts Receivable (FI - AR) in SAP S/4HANA (using Global Bike)

THANK YOU
FOR YOUR ATTENTION

Q&A